

Customer Retention & Churn Analysis

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Objective

The goal of this analysis is to identify patterns of customer churn, determine key drivers of retention, and evaluate customer lifetime trends for a subscription-based business.

Insights from this analysis can inform strategies to:

- Reduce customer churn
- Improve long-term revenue stability
- Strengthen customer engagement and loyalty

Overall Customer Churn

Churn Status

- Churned Customers: 1,869 (26.5%)
- Customers Who Stayed: 5,174 (73.5%)

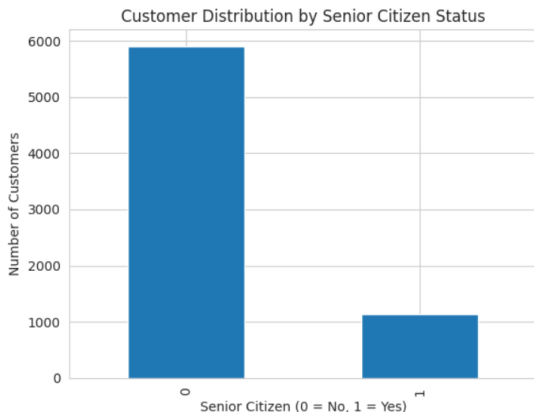
Observation

Approximately one in four customers have left the service, indicating a moderate churn rate. Identifying the drivers of churn is essential for improving retention strategies.

Customer Demographics

Senior Citizen Status

- Non-senior customers: 5,901 (83.9%)
- Senior customers: 1,142 (16.2%)

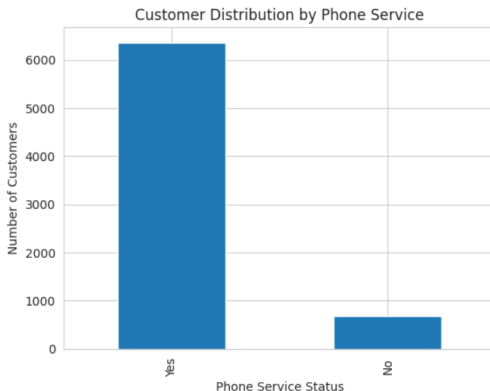


Observation The customer base is dominated by non-senior users (83.9%), suggesting that most services and marketing strategies should focus on digitally engaged customers. However, the senior segment (16.2%) presents an opportunity for targeted offerings such as simplified plans, loyalty incentives, and strong customer support to increase retention.

Phone Service Adoption

Phone Service

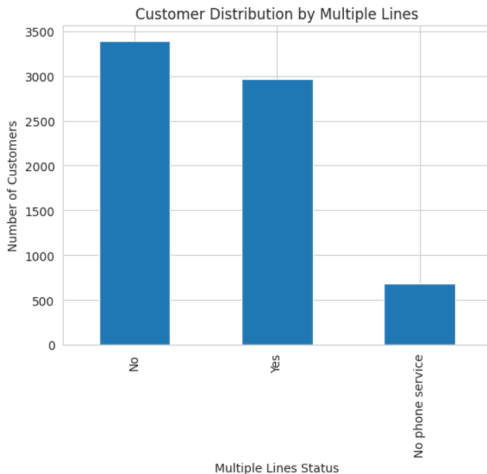
- Yes: 6,352 (90.2%)
- No: 680 (9.8%)



Observation Most customers use phone service, indicating that the company's core services are widely adopted. Lack of phone service does not appear to be a major driver of churn.

Multiple Lines Service

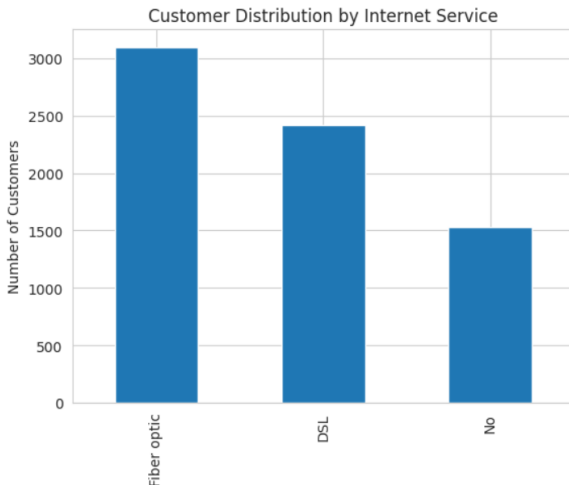
- No: 3,390
- Yes: 2,971
- No phone service: 682



Observation Nearly half of the customers use multiple lines. This could indicate higher engagement and potentially lower churn among these customers.

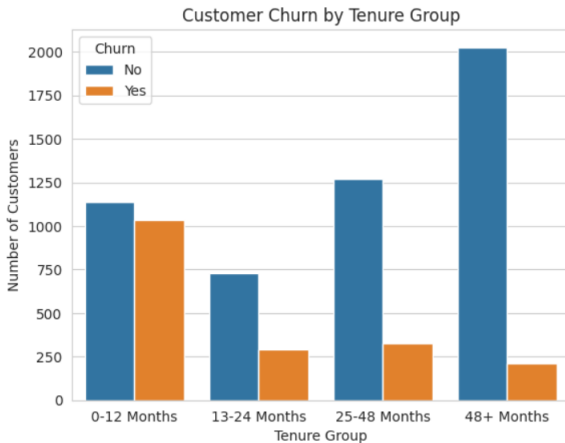
Internet Service Distribution

- Fiber Optic: 3,096 (44%)
- DSL: 2,421 (34%)
- No Internet Service: 1,526 (22%)



Observation Fiber optic is the most widely used internet service. However, it also shows higher churn rates compared to other service types.

Tenure and Customer Loyalty



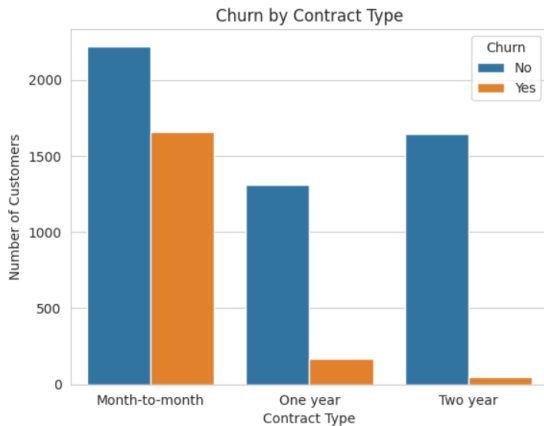
Key Findings

- Churn is highest within the first 12 months of subscription.
- Nearly 48% of customers churn within the first year.
- Customers with tenure longer than 24 months show significantly higher loyalty.

Insight

Early-stage retention programs such as onboarding support, personalized offers, and engagement campaigns could reduce churn during the first year.

Contract Type and Churn



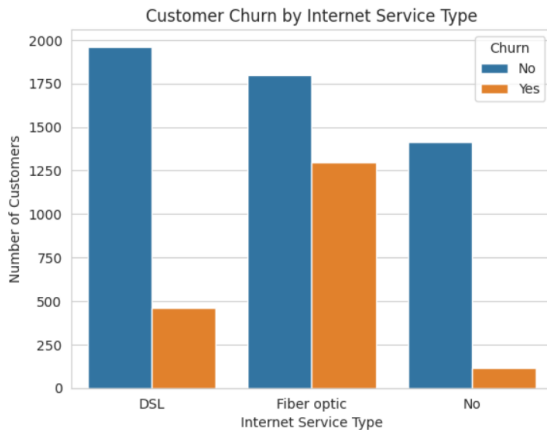
Churn Rates by Contract Type

- Month-to-month contracts: $\sim 42.7\%$ churn
- One-year contracts: $\sim 11\%$ churn
- Two-year contracts: $\sim 2.8\%$ churn

Insight

Longer-term contracts significantly improve retention. Offering incentives or discounts for long-term contracts could help reduce churn.

Internet Service and Churn



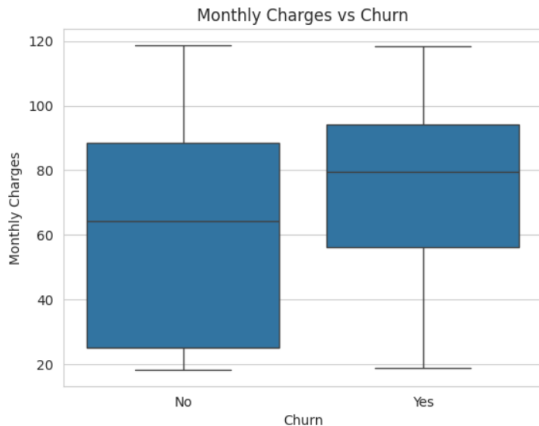
Churn Rates by Internet Service

- Fiber optic: 41.9%
- DSL: 19%
- No internet service: 7%

Insight

Fiber optic users may have higher expectations regarding service quality and pricing. Loyalty programs, service guarantees, or enhanced customer support may help reduce churn in this segment.

Pricing and Churn



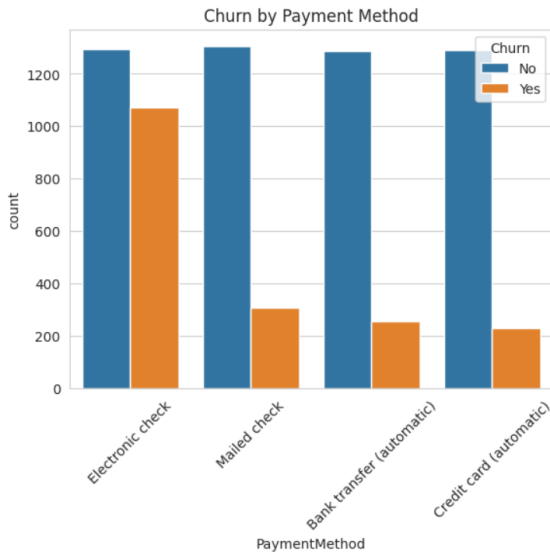
Average Monthly Charges

- Customers who churn: \$74.44
- Customers who stay: \$61.27

Observation Customers paying higher monthly charges are more likely to churn, suggesting that perceived value plays an important role in retention. **Insight**

Providing additional services, discounts, or loyalty incentives for high-paying customers could reduce churn.

Payment Method and Churn



Churn by Payment Method

- Electronic check: 45% churn
- Automatic payments (bank transfer or credit card): 16%–17% churn

Insight

Customers using automatic payments are more likely to stay. Promoting automatic payment options could improve retention.

Key Retention Drivers

The strongest drivers of retention include:

- **Contract Length:** Longer-term contracts significantly reduce churn
- **Customer Tenure:** Retention increases with longer subscription periods
- **Payment Method:** Automatic payments improve retention
- **Service Type:** Fiber optic users require better support
- **Pricing:** Higher prices require stronger perceived value

High-Risk Customers

- Month-to-month contract holders
- Customers in their first 12 months
- Fiber optic users
- Electronic check payers
- Customers with high monthly charges

Low-Risk (Loyal) Customers

- 48+ months tenure
- One-year or two-year contracts
- Automatic payment users
- Moderate monthly charges

To reduce churn and improve revenue stability, the company should:

- Target retention strategies toward new customers
- Encourage longer-term contracts through incentives
- Promote automatic payment methods
- Improve service quality for fiber optic users
- Provide loyalty benefits for high-paying customers

Final Remarks

- Churn is highest in the early stages of the customer lifecycle.
- Contract length, payment method, service type, and pricing strongly influence retention.
- Retention programs should focus on onboarding, engagement, and perceived value.

Strengthening customer experience and incentivizing long-term commitment can significantly reduce churn and support sustainable business growth.